

determined that the *Post* would once again achieve these margins. If pretax margins improved to 15 percent, the present value of the company would increase by \$135 million, bringing the total intrinsic value to \$485 million.

Tenet: Buy at Attractive Prices

Even the most conservative calculation of the company's value indicates that Buffett bought the Washington Post Company for at least half its intrinsic value. He maintains that he bought the company at less than one-quarter of its value. Either way, he clearly bought the company at a significant discount to its present value. Buffett satisfied Ben Graham's premise that buying at a discount creates a margin of safety.

Tenet: Return on Equity

When Buffett purchased the stock in the *Washington Post*, its return on equity was 15.7 percent. That was an average return for most newspapers and only slightly better than that of the Standard & Poor's (S&P) 500 Industrials index. But within five years, the *Post*'s return on equity doubled. By then it was twice as high as the S&P Industrials and 50 percent higher than the average newspaper. Over the next 10 years, the *Post* maintained its supremacy, reaching a high of 36 percent return on equity in 1988.

These above-average returns are more impressive when we observe that the company has, over time, purposely reduced its debt. In 1973, the ratio of long-term debt to shareholders' equity stood at 37 percent, the second-highest ratio in the newspaper group. Astonishingly, by 1978 Katharine Graham had reduced the company's debt by 70 percent. In 1983, long-term debt to equity was 2.7 percent—one-tenth the newspaper group average—yet the *Post* generated a return on equity 10 percent higher than these companies. In 1986, after investing in the cellular telephone systems and purchasing Capital Cities' 53 cable systems, debt in the company was an uncharacteristic high of \$336 million. Within a year, it was reduced to \$155 million. By 1992, long-term debt was \$51 million and the company's long-term debt to equity was 5.5 percent compared to the industry average of 42.7 percent.